

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

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**RESPONDENT SM LINE CORPORATION'S
EXCEPTIONS TO INITIAL DECISION**

Pursuant to 46 C.F.R. §502.27 Respondent SM Line Corporation (“SM Line” or “Respondent”), through undersigned counsel, hereby excepts to certain Findings of Fact and conclusions of law in the Presiding Officer’s May 28, 2025 Initial Decision (“ID”).

I. SUMMARY OF THE ARGUMENT

In this proceeding, Complainant Samsung Electronics America, Inc. (“SEA”) attempted to recover costs and fees it incurred due to its own acts or omissions from Respondent SM Line. Under the mistaken assumption that the regulatory framework set by the U.S. Shipping Act of 1984, as amended (“Shipping Act”) as an opportunity for a windfall, SEA tried to pass these costs as violations of the Shipping Act by SM Line as well as several other carriers. As a result, SEA sought to recover the entirety of charges it paid to SM Line and third parties for all the shipments that took place during the years 2020 through 2022. In the ID, the Presiding Officer correctly held that SEA failed to prove its damages with reasonable certainty as required by the Shipping Act and accordingly dismissed the bulk of SEA’s claims. In doing so, however, the ALJ determined that one individual document, which witnesses in this case have testified being unreliable at best, was sufficient to support an award of reparations to the tune of approximately two million US dollars. More specifically, the Presiding Officer held that, alone, a preliminary and incomplete collection of data related to the shipments that SM Line handled to the benefit of SEA constituted sufficient evidence to (a) relieve Complainant of its burden to prove that SM Line engaged in unreasonable practices, and (b) fully support an award of damages in SEA’s favor. SM Line respectfully submits that the document in question was and to this day is the only evidence that SEA was able to point at in support of their claim, and that the document is so

clearly incomplete and unreliable that it cannot satisfy the heightened standard of “reasonable certainty” that the Commission requires to award reparations.

II. STANDARD OF REVIEW

Under the Administrative Procedure Act, the ID must be supported by and in accordance with reliable, probative, and substantive evidence. 5 U.S.C. § 556(d). In reviewing the ID the Commission has all the powers which it would have in making the initial decision. 46 C.F.R. § 502.227(a)(6). In other words, the ID is reviewed under a de novo standard.

III. SEA FAILED TO ESTABLISH THAT REPARATIONS WERE WARRANTED

a. SEA did not present a container-by-container analysis as it is required.

The ID properly recognized that SEA failed to provide a container-by-container analysis as it is required by the Commission precedents in order to award reparations. ID at 54. The Presiding Officer also cited the correct standard that the Commission requires to award reparations in that the ID states that a Complainant “must show that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty’”. ID at 54. Similarly, the ALJ recognized that the Commission does not allow for speculative damages and that “there must be reasonable certainty regarding a claim for lost profits”. *Id.*

The ID, however, fell short of reciting the entire standard that a Complainant must meet as it failed to include that the way to achieve the standard of reasonable certainty is by balancing reliable evidence. The *William R. Adair v. Penn-Nordic Lines, Inc.* case that the ID cites on page 54 expressly states that “proof of injury or damages must rest on **reliable evidence** that shows that the violation of law was the proximate cause of the damages.” *William R. Adair v. Penn-*

Nordic Lines, Inc. Docket No. 1695(F), 26 S.R.R. 11, 1991 WL 383091 at *23, (ALJ Sept.24, 1991)(emphasis added). The Presiding Officer held that SEA failed to carry its burden of proof with respect to the bulk of the charges. ID at 54. For the reasons set forth *infra*, SM Line respectfully submits that the only piece of evidence that the ALJ relied on to award reparations in favor of SEA is not the type of “reliable evidence” that the Commission requires be adopted when issuing an award of damages, let alone one of this entity.

b. A statement against interest is not dispositive.

Under the Federal Rules of Evidence, a statement against interest may be admitted as an exception to the hearsay rule. However, the fact that a hearsay statement fits within an exception does not mean that the content of the statement is established as true. Rather, it becomes just one piece of evidence that the fact-finder may consider and weigh appropriately.

The case of *Cox v. Esso Shipping Co.*, 247 F.2d 629, 633-34 (5th Cir. 1957), illustrates this principle. There, the court allowed the jury to consider a ship captain’s accident report as an admission against interest but emphasized that its contents were not binding. Instead, the jury was tasked with determining the weight of the statement in light of all the evidence.

In other words, statements against interests are not legally conclusive and may be explained, contradicted, or disregarded entirely depending on the surrounding facts and credibility assessments, especially when they involve legal opinions and conclusions. Courts have consistently recognized this principle. In *State Farm Mut. Auto. Ins. Co. v. Porter*, 186 F.2d 834, 843 (9th Cir. 1950), the court held that admissions are “in no sense conclusive” and may be rebutted or explained away.

c. The spreadsheet is unreliable and does not justify an award against SM Line

It is undisputed that the entirety of the award of reparations is supported exclusively by the evidence provided in one document. The document in question is a Microsoft Excel spreadsheet contained in exhibit CX_004714 and it is a collection of unverified information on SEA shipments that SM Line conducted immediately after the beginning of the litigation, only a few weeks after SEA filed its complaint.

As testified by SM Line witness K.K. Choi, the data in exhibit CX_004714 was something that SM Line collected at the very early stages of the litigation. The table “was created only based on the emails that were available without us confirming the details”. CX_00309-310. The table was compiled as a “stress test” by a single employee, Ms. Yeonhui Yi, who tried to match information found in various emails on the basis of container numbers. CX_00310.¹

More specifically, Yeonhui Yi had access to several emails that SM Line employees had stored after SEA filed the complaint in the present action. CX_00314-315. By using the content of at least some of those emails, as well as the data contained in the ALPS system used by SM Line to catalog its shipments, Yeonhui Yi created exhibit CX_004714. The purpose of that document was to be of assistance to counsel for SM Line “at the initial stage of the litigation”. CX_00309. The document was not meant to be exhaustive or accurate and, in fact, Mr. Choi testified that he wasn’t able to confirm the accuracy of the information contained in exhibits CX_004714. CX_00310. Mr. Choi, however, was clear in stating that whatever information had been used to generate exhibit CX_004714 has been produced to SEA during the course of this litigation. CX_00315.

¹ Yeonhui Yi’s name is spelled phonetically in K. K. Choi’s deposition transcript. CX_000313, Line 3.

For reference, SM Line document production in this case consisted of over fifty-three thousand documents the review of which required in excess of five-hundred and fifty hours of attorney work over the span of four months. Additionally, nineteen witnesses were heard during discovery. The Presiding Officer recognized that the parties conducted “extensive and fulsome discovery” in this matter. ID at 43. Despite the sheer volume of document production and testimonial evidence at SEA’s disposal, there has been, and the ALJ properly recognized this, not a single instance in which SEA was able to point to specific charges that SEA paid because of violations of the Shipping Act by SM Line.

The *Cox v. Esso* and *State Farm v. Porter* cases cited above make it clear that the ALJ’s admission of the spreadsheet under the statement against interest exception does not equate to the spreadsheet being reliable and proper foundation for an award of reparation in favor of SEA. See *Cox*, 247 F.2d at 633-34 (5th Cir. 1957); *Porter*, 186 F.2d at 843 (9th Cir. 1950). Additionally, the FMC precedents require that any evidence used to support an award of damages be reliable. *William R. Adair*, 26 S.R.R. 11, 1991.

The spreadsheet is not reliable as it was prepared at the very early stages of the claim process, in an extremely short time and with incomplete information. Furthermore, the data contained in the spreadsheet was not subjected to verification at the time as the document was not intended for use outside of SM Line, and it was not disclosed to anyone outside of SM Line except inadvertently in connection with this proceeding. The content of the spreadsheet has not been corroborated by any other evidence, and the only testimonies that addressed the document questioned its accuracy.

As reported by the un rebutted testimony of K.K. Choi above, the documentation supporting the spreadsheet and necessary to verify its accuracy has been made available to SEA

during discovery. SEA failed to show even a single instance in which it could corroborate the content of the spreadsheet, let alone the entirety of its claim. This circumstance alone significantly undermines the spreadsheet's trustworthiness, especially considering that the burden was and still remains on SEA to prove with reasonable certainty the facts asserted. In addition, there are at least a number of examples in which the classification of the charges made in the spreadsheet as "Port Congestion" looks to be improper, or, at a minimum, it would have required additional corroboration.

For example, container SMCU1223479 found in exhibit CX_004714 under the tab "Data (All)" behind the charges collected ("644972.9") with the tag "Congestion" - Line 8 / Column M – "Raw Data")². This container is one of many where SM Line notified SEA's CNT (Spirit Transport) of the availability of the container for pick up since January 24, 2022. See RX_0000762. For this container, the total incurred DEM amount was \$30,950. See CX_004714 - Line 37/ Column V of the Raw Data), but SM Line's only invoiced \$19,225 (See CX_004714 - Line 37/ Column AC of the Raw Data). This significant reduction strongly indicates that SM Line did not invoice all the demurrage charges because of the "congestion" status, and that SM Line did not invoice or collect the full demurrage charges. Rather, it is more than reasonable to believe that SM Line exercised billing discretion by invoicing only a portion of the potential charges to accommodate its client due to the congestion issues. This contradicts any assumption that the charges in the "congestion" column of exhibit CX_004714 reflect amounts collected without taking the congestion into account and the \$644,972.90 charges collected are unlawful in its entirety. Again, exhibit CX_004714 shows that SM Line collected reduced amounts in recognition of the congestion, which should be seen as consistent with compliance under the law.

² The Raw Data can be accessed by double clicking Line 8/Column M of the "Pivot" Tab. The resulting tab will show the breakdown of the demurrage charges constituting the \$644,972.90 tagged as "Congestion".

The amounts collected should be deemed lawful unless proved otherwise. A burden that SEA has not met.

Furthermore, numerous other containers including containers number: SMCU1288377, SMCU1025663, SMCU1173573, SMCU1160386, SMCU1151208, SMCU1010302, SMCU1009955, DRYU9601941, DFSU6434477, DFSU6010123, CAIU4585554, CAIU4353121, SMCU1095737, SMCU1223479, SMCU1207863, SMCU1150670, FCIU8440182, SMCU1291431, SMCU1169188, FCGU1983895, SMCU1207098, and FCGU1978899 listed in exhibit CX_004714 share the same pattern. SM Line issued repeated pickup notices of available containers to SEA's trucker (RX_000665, RX_000554, RX_000522) and that SM Line, ultimately invoiced amounts much lower than the full demurrage charges, in recognition of the congestion related conditions by extending free time or by waiving demurrage charges in recognition of accessibility issue. All of the above records weight heavily in favor of a finding that exhibit CX_004714 is not reliable evidence and should not, serve as a basis for imposing reparations relieving SEA from proving its case.

IV. INTEREST

Respondent also takes exception to the ID finding that pre-judgment interest should be awarded from August 25, 2021. Maritime law generally supports the award of pre-judgment interests. However, it is well established that there are exceptions to the rule. In particular, the Supreme Court of the United States held that peculiar circumstances preventing the award of pre-judgment interest have included a plaintiff's responsibility for "undue delay in prosecuting the lawsuit." *General Motors Corp. v. Devex Corp.*, 461 U.S. 648, 657, 103 S.Ct. 2058, 2063 (1983); *Protogyrou v. Lines*, 42 F.3d 1386 (Table), 1994 WL 673635 (4th Cir. 1994). The circumstances of this matter and of other similar matters, where thousands of shipments and

charges are at issue could encourage a Complainant to delay the filing of an action as much as possible for the only reason of maximizing its potential interest recovery. In this case Complainant failed to even provide formal notice of claims until September 23, 2022, and delayed the filing of the complaint until April 14, 2023, which was served on Respondent on April 19, 2023. Respondent submits that the appropriate starting point for the calculation of prejudgment interest, if any will be awarded after considering the arguments raised in Respondent's exceptions, is at the earliest the date it received service of the complaint. (See *Reeled Tubing, Inc. v. M/V Chad G* 794 F.2d 1026, 1029 (5th Cir. 1986) and *Howell v. Marmpegaso Compania Naviera, S.A.*, 578 F.2d 86 (5th Cir.1978) holding that a trial court may properly exercise its discretion to award prejudgment only to the date of judicial demand)

V. CONCLUSION

Respondents respectfully submit that the Presiding Officer, while properly holding that SEA did not carry its burden of proof for the great majority of its claim, adopted too lenient of an evidentiary standard in awarding Complainant reparation for approximately two million dollars.

The only piece of evidence that the court used to award reparation in favor of SEA is a spreadsheet that stands as an uncorroborated hearsay statement and, while it may be admissible under the hearsay exception, its evidentiary weight is minimal due to its unverified nature, lack of corroborating support, and the circumstances under which it was created. As such, it should be accorded little, if any, weight, and does not satisfy the applicable burden of proof. Ultimately, the proof is in the pudding. After receiving discovery to the tune of hundreds of thousands of pages and deposing a dozen of witnesses, all SEA was able to point at to carry its whole case is an uncorroborated document prepared in a hurry, under the pressure of litigation, and based on unverified information.

The Commission should revise the decision and remove the entirety of the amount granted to SEA in reparation. By doing so, the Commission would uphold the basic legal standard requiring a plaintiff or a complainant to prove their case, both with respect to liability and with respect to the quantification of damages.

/s/Wook Chung_____

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Dated: June 20, 2025

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 20th day of June 2025, the foregoing document was served via electronic mail on:

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